

5-3a Tariff Barriers

A **tariff barrier** (Trade barrier that relies on tariffs to discourage imports.) is a means of discouraging imports by placing a tariff (tax) on imported goods. As a major tariff barrier, an **import tariff** (A tax imposed on imports.) is a tax imposed on a good brought in from another country. Figure 5.7 uses rice tariffs in Japan to show that there are *unambiguously* net losses—known as **deadweight costs** (Net losses that occur in an economy as a result of tariffs.) .

Figure 5.7

Tariff on Rice Imports in Japan

- Panel A: In the absence of international trade, the domestic price is P_1 and domestic rice farmers produce Q_1 , determined by the intersection of domestic supply and demand curves.
- Panel B: Because Japanese rice price P_1 is higher than world price P_2 , foreign farmers export to Japan. In the absence of tariffs, Japanese farmers reduce output to Q_2 . Japanese consumers enjoy more rice at Q_3 at a much lower price, P_2 .
- Panel C: The government imposes an import tariff, effectively raising price from P_2 to P_3 . Japanese farmers increase production from Q_2 to Q_4 , and consumers pay more at P_3 and consume less by reducing consumption from Q_3 to Q_5 . Imports fall from $Q_3 - Q_2$ in Panel B to $Q_5 - Q_4$ in Panel C.

Classical theorists such as Smith and Ricardo would have advised Japan to enjoy the gains from trade in Panel B. But political realities land Japan in Panel C, which, by limiting trade, introduces total inefficiency, represented by the area consisting of A, B, C, and D. However, Japanese rice farmers gain the area of A and the government pockets tariff revenues in the area of C. Therefore:

$$\begin{aligned}
 \text{Net losses (deadweight)} &= \text{Total inefficiency} - \text{net gain} \\
 &= \text{Area (A + B + C + D)} - \text{Area (A + C)} \\
 &= \text{Area (B + D)}
 \end{aligned}$$

The net losses (areas B and D) represent unambiguous economic inefficiency to the nation as a whole. Japan is not alone in this regard. A Microsoft Xbox 360 console that retails for US\$360 in the United States costs US\$1,000 (!) in Brazil, after adding import tariffs. In 2009, the United States slapped a 35% import tariff on tires made in China. Brazilian Xbox gamers and American tire buyers have to pay more, and some may be unable to afford the products. While not being able to get your arms around an Xbox will have no tangible damage, some economically struggling US drivers who should have replaced their worn-out tires may be forced to delay replacing their tires. According to the US Tire Industry Association, some may be *killed* should they be involved in accidents before they are able to afford the now-more-expensive tires.

Given the well-known net losses, why are tariffs imposed? The answer boils down to the political realities. Although “everybody” in a country suffers because of higher prices, it is extraordinarily costly, if not impossible, to politically organize geographically scattered individuals and firms in order to promote free trade. On the other hand, special interest groups tend to be geographically concentrated and skillfully organized to advance their interests. In Japan, although farmers represent less than 1% of the population, they represent disproportionate votes in the Diet (Japanese parliament). Why? Diet districts were drawn up in the aftermath of World War II, when most Japanese lived in rural areas. Such

districts were never re-zoned, although the majority of the population now lives in cities. Thus, when the powerful farm lobby speaks, the Japanese government listens. The upshot? A whopping 777% tariff on imported rice.

Chapter 5: Trading Internationally: 5-3a Tariff Barriers

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